

mother. But it is only a crime to lie to the government. And only a fool would tell the truth to a predator.

Tax havens have been used for many years to protect people from predatory governments. In World War II, for example, Switzerland was where wealthy German and Polish Jews put their money. Asked about it by the authorities, they surely lied. Under duress, many were forced to repatriate their wealth so that the Nazi government of the time could confiscate it. But if they could get away with it, they used the tax haven to protect their wealth. Those who survived were glad they did.

Tax havens are still useful, though less so. Governments all over the world have ganged up against them. In order to use the world's banking system and benefit from trade and travel agreements, the tax havens are being forced to open up their records and betray their clients.

Of course, many of the clients are probably rogues and rascals. Dictators use tax havens, too. So do drug dealers. And some of the money that ends up in tax havens may be "black" money, earned without the benefit of taxation. There may even be a "terrorist" with a bank account in the Cayman Islands or Luxembourg.

Be that as it may, our interest in tax havens is that they can provide low-cost (taxwise) jurisdictions for parking and managing family money. But there's another reason for holding money in tax havens. Remember that the best strategy for making money is to concentrate your forces on a narrow front, where you can make a competitive breakthrough. But the best way to protect money is to spread it out. You don't want all your eggs in one basket.

Typically, you will have your house and most of your assets in your home country. You may have investment property. You may have stocks, bonds, and cash, as well as business interests. These may be the elements of your family wealth. They may be only your personal wealth. But it's also a good idea to have some wealth outside the country where you live and work. Why? You never know.

Certainly, anyone who escaped from Nazi Germany in the 1930s could give you an answer. Here's one memoir that gives you a sense of how predatory governments can become: